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6-9 Management Savvy

Learning Objective 6-5

Draw implications for action.

The big question in global business, adapted to the context of FDI, is: What determines the success and failure of FDI around the globe? The answer boils down to two components. First, from a resource-based view, why some firms are very good at FDI is because they leverage OLI advantages in a way that is valuable, unique, and hard-to-imitate by rival firms. Second, from an institution-based view, the political realities either enable or constrain FDI from reaching its full economic potential (see Emerging Markets 6.1). Therefore, the success and failure of FDI also significantly depends on institutions governing FDI as "rules of the game" (see the Closing Case).

As a result, three implications for action emerge (Table 6.2). First, carefully assess whether FDI is justified, in light of other possibilities, such as outsourcing and licensing. This exercise must be conducted on an activity-by-activity basis as part of the value-chain analysis (see Chapter 4). If ownership and internalization advantages are deemed not crucial, then FDI is not recommended.

Table 6.2

Implications for Action

- Carefully assess whether FDI is justified, in light of other foreign entry modes such as outsourcing and licensing
- Pay careful attention to the location advantages in combination with the firm's strategic goals
- Be aware of the institutional constraints and enablers governing FDI and enhance legitimacy in host countries

Second, once a decision to undertake FDI is made, pay attention to the old adage: "Location, location, location!" The quest for location advantages has to create a fit with the firm's strategic goals. For example, if a firm is searching for the best "hot spots" for innovations, certain low cost locations that do not generate sufficient innovations will not become very attractive (see Chapters 10 and 13). High-cost locations, such as Denmark, would be ideal for wind turbine makers in search of cutting-edge innovations (In Focus 6.2).

Finally, given the political realities around the world, be aware of the institutional constraints. Savvy MNE managers should not take FDI-friendly policies for granted. Setbacks are likely. The global economic slowdown has made many developed economies less attractive to invest in, and the credit crunch means that firms are less able to invest abroad. Attitudes toward certain forms of FDI (such as sovereign wealth funds [SWF] discussed in Emerging Markets 6.1) are changing, which may lead to FDI policies to become more protectionist. In the long run, the interests of MNEs in host countries can be best safeguarded if MNEs accommodate, rather than neglect or dominate, the interests of host countries. In practical terms, contributions to local employment, job training, education, innovation, and pollution control will tangibly demonstrate the commitment of MNEs to host countries (see the Closing Case).

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